SK Hynix (000660 KS)

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4Q26 OP estimated at W118.2tn

3Q26 company-wide OP comes to W83.3tn

SK Hynix posted 3Q26 revenue of W104.6tn (+327.9% YoY, +31.9% QoQ) and OP of W83.3tn (OPM 79.7%, +632.1% YoY, +37.6% QoQ), beating the upper end of the one-month market consensus (revenue W99.9tn, OP W80.0tn) by 4.7% and 4.1%, respectively. Despite 1) the negative forex impact from a stronger won (about W5-6tn); 2) rising prices across memory and expanding sales of high value-added products continued, renewing record-high quarterly earnings for the sixth-straight quarter. In 3Q26, DRAM shipments likely rose by 10% QoQ and prices by 26%. Meanwhile, NAND shipments likely decreased slightly, while prices likely increased by 25% QoQ. Company-wide net profit attributable to controlling interest came to W41.6tn (-55.7% QoQ), far below the average consensus (W65.4tn), as forex-related losses from won appreciation (W11.6tn) and valuation losses on investment assets including Kioxia (W22.9tn) were reflected in non-operating profit.

Maintain BUY and revise up target price to W3,700,000

We estimate 4Q26 revenue at W147.1tn (+348.1% YoY, +40.6% QoQ) and OP at W118.2tn (OPM 80.4%, +516.7% YoY, +41.9% QoQ), significantly beating the one-month consensus average (revenue W111.3tn, OP W88.4tn). Accelerating migration to the DRAM 1cnm process and M15X ramp-up should drive DRAM shipment growth in the mid-26% range QoQ, while HBM4 is expected to overtake HBM3E in terms of both shipment volume and revenue contribution. With wafer capacity additions limited and supply growth continuing to rely on technology migration, operating leverage should continue to expand.

SK Hynix has signed long-term agreements (LTAs) with 14 customers, including major global cloud service providers (CSPs), covering more than 50% of its total capacity for 2027-2028. Including volumes currently under negotiation, DRAM and HBM capacity is effectively sold out through 2029. Notably, currently identified demand reflects only volumes within the company's supply capabilities. We understand that LTA customers are also requesting spot volumes beyond their contracted allocations. The expanding range of investors in on-premise and sovereign AI infrastructure should also be noted. Earnings visibility is therefore improving substantially relative to previous cycles. We also expect further momentum from shareholder returns. Planned FY2026 shareholder returns of approximately W100tn (more than W30tn in cash dividends and over W60tn in share buybacks and cancellations) represent roughly one-third of 2026E OP. With OP expected to nearly double in 2027, there is ample room to increase shareholder returns further. We maintain BUY and raise our target price to W3,700,000, applying a target P/B of 3.5x to our 2027E BPS.

BUY (M)

Target price	W3,700,000 (Up)
Previous target price	W3,300,000
Current price (Oct 28)	W1,487,000
Upside potential	149%

Market cap (Wbn)	1,086,242
Shares outstanding	706,799,093
Avg daily T/O (2M, Wbn)	6,092
Avg daily volume (2M, shrs)	3,812,436
52-week high/low (won)	2,919,000 / 519,000
Foreign ownership (%)	48.66%
Dividend yield (%)	0.46%
Major shareholders	SK Square & others

Stock performance

(%)	1M	3M	12M
Absolute	(15.9)	(4.1)	185.4
Relative	(3.6)	(3.9)	90.4
Abs (US$)	(14.2)	4.9	206.7

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	104,615	327.9	31.9	98,226	6.5
OP	83,333	632.1	37.6	76,964	8.3
Pre-tax net profit	53,048	258.7	-56.8	74,779	-29.1
Net profit, CI	41,565	230.0	-55.7	57,858	-28.2
OPM (%)	79.7	+33.1 %pt	+3.4 %pt	78.4	+1.3 %pt
NPM (%)	39.7	-11.8 %pt	-78.6 %pt	58.9	-19.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	66,193	97,147	383,602	738,334
OP	23,467	47,206	299,710	594,481
Net profit, CI	19,789	42,919	306,542	620,422
P/E (x)	6.6	5.2	3.5	1.7
P/B (x)	1.7	1.8	2.3	1.0
EV/EBITDA (x)	4.0	3.6	2.8	0.5
ROE (%)	31.1	44.2	110.1	83.0

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

SK Hynix: earnings forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2024	2025	2026E
Sales	**Total**	**17,639**	**22,232**	**24,449**	**32,827**	**52,576**	**79,319**	**104,615**	**147,092**	**66,193**	**97,147**	**383,602**
	YoY	41.90%	35.40%	39.10%	66.10%	198.1%	256.8%	327.9%	348.1%	102.0%	46.8%	294.9%
	QoQ	-10.80%	26.00%	10.00%	34.30%	60.2%	50.9%	31.9%	40.6%	-	-	-
Gross profit	Total	10,102	11,983	14,029	22,576	41,679	65,991	89,652	126,205	31,828	58,691	323,528
	(% of sales)	57.30%	53.90%	57.40%	68.80%	79.3%	83.2%	85.7%	85.8%	48.1%	60.4%	84.3%
OP	**Total**	**7,441**	**9,213**	**11,383**	**19,170**	**37,610**	**60,543**	**83,333**	**118,224**	**23,467**	**47,206**	**299,710**
	(% of sales)	42.20%	41.40%	46.60%	58.40%	71.5%	76.3%	79.7%	80.4%	35.5%	48.6%	78.1%
	YoY	157.80%	68.50%	61.90%	137.20%	405.5%	557.2%	632.1%	516.7%	TTB	101.2%	534.9%
	QoQ	-7.90%	23.80%	23.60%	68.40%	96.2%	61.0%	37.6%	41.9%	-	-	-
Net profit	**Total**	**8,108**	**6,996**	**12,598**	**15,220**	**40,330**	**93,820**	**41,565**	**130,827**	**19,789**	**42,919**	**306,542**
	(% of sales)	46.00%	31.50%	51.50%	46.40%	76.7%	118.3%	39.7%	88.9%	29.9%	44.2%	79.9%
	YoY	323.00%	69.80%	119.00%	90.20%	397.5%	1240.8%	230.0%	759.6%	TTB	116.9%	614.2%
	QoQ	1.30%	-13.70%	80.10%	20.80%	165.0%	132.6%	-55.7%	214.7%	-	-	-
	DRAM sales	14,195	17,117	19,070	24,949	41,009	57,903	78,461	117,726	129,620	141,381	152,755
	YoY	84.90%	50.00%	57.30%	70.60%	188.9%	238.3%	311.4%	371.9%	216.1%	144.2%	94.7%
	QoQ	-3.00%	20.60%	11.40%	30.80%	64.4%	41.2%	35.5%	50.0%	10.1%	9.1%	8.0%
Bit shipments	***QoQ***	***-9.00%***	***23.50%***	***6.00%***	***3.00%***	***0.1%***	***5.0%***	***10.0%***	***27.0%***	***7.0%***	***6.0%***	***5.0%***
ASP	***QoQ***	***1.10%***	***2.00%***	***5.00%***	***26.50%***	***62.0%***	***40.0%***	***26.0%***	***15.0%***	***5.0%***	***5.0%***	***5.0%***
	DRAM OP	7,239	9,089	11,061	16,881	32,218	47,592	66,094	99,469	109,579	119,576	129,312
	OPM (%)	51.00%	53.10%	58.00%	67.70%	78.6%	82.2%	84.2%	84.5%	84.5%	84.6%	84.7%
	YoY	204.20%	94.20%	98.30%	133.10%	345.0%	423.6%	497.6%	489.2%	240.1%	151.3%	95.6%
	QoQ	0.00%	25.60%	21.70%	52.60%	90.9%	47.7%	38.9%	50.5%	10.2%	9.1%	8.1%
	NAND sales	3,108	4,609	4,890	7,550	11,223	21,416	23,845	28,936	32,162	35,749	38,625
	YoY	-29.70%	-9.60%	-0.60%	59.10%	261.0%	364.7%	387.6%	283.3%	186.6%	66.9%	62.0%
	QoQ	-34.50%	48.30%	6.10%	54.40%	48.6%	90.8%	11.3%	21.4%	11.2%	11.2%	8.0%
Bit shipments	***QoQ***	***-20.00%***	***70.00%***	***-5.00%***	***12.40%***	***-10.0%***	***16.0%***	***-0.1%***	***5.0%***	***7.0%***	***7.0%***	***5.0%***
ASP	***QoQ***	***-20.00%***	***-9.00%***	***10.00%***	***33.40%***	***65.0%***	***55.0%***	***25.0%***	***15.0%***	***6.0%***	***6.0%***	***5.0%***
	NAND OP	62	46	324	2,319	5,625	13,474	15,417	18,777	20,906	23,273	25,172
	OPM (%)	2.00%	1.00%	6.50%	30.70%	50.1%	62.9%	64.7%	64.9%	65.0%	65.1%	65.2%
	YoY	-90.90%	-95.90%	-73.60%	171.60%	8947.7%	29133.4%	4654.1%	709.6%	271.7%	72.7%	63.3%
	QoQ	-92.70%	-25.90%	603.60%	615.20%	142.5%	139.5%	14.4%	21.8%	11.3%	11.3%	8.2%

Note: TTB = turn to black
Source: Yuanta Securities

SK Hynix: target price calculation											(won, x)
	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E
Adj BPS (ex non-controlling interest)		67,794	69,271	74,721	88,543	90,064	76,616			617,49	
P/B (end)	1.61	0.89	1.36	1.59	1.48	0.83	1.85	1.66	3.88	2.06	0.85
P/B (high)	1.90	1.44	1.40	1.62	1.70	1.49	1.88	2.38	3.93	4.84	1.99
P/B (low)	0.94	0.86	0.82	0.88	1.02	0.83	0.95	1.23	0.97	1.05	0.43
P/B (avg)	1.35	1.16	1.09	1.19	1.37	1.13	1.41	1.71	1.84	2.41	0.99
Target P/B											**3.50**
Target price											
Close price (Oct 28)											1,487,000
Upside potential											149%

Source: Yuanta Securities

Q&A from SK Hynix 3Q26 earnings call

1. There are concerns over the sustainability of AI demand due to delayed monetization relative to AI infrastructure capex. What is the basis for expecting AI investment momentum to continue?

- We view discussions on moderating the pace AI investments as a process in which clients closely review the feasibility and profitability of individual projects to specify investment timing and speed. There are two grounds for sustained momentum.

- First, clients' investments in AI are translating into actual AI service expansion and business results. Major hyperscalers stated in recent earnings releases that cloud revenue grew roughly 30-80% YoY, much of which we attribute to AI business expansion. Long-term contracts for large-scale enterprise AI solutions are increasing, while cloud order backlogs have surged roughly two- to fivefold YoY. Moreover, paid AI service users are increasing as well. AI-related revenue growth and financial performance are being confirmed across multiple fronts. Accordingly, improving AI revenue and cash flows at major customers should gradually ease market concerns over investment burdens. Customers' alternatives to overcome constraints including building multi-site data centers, expanding small- to mid-sized data centers with easier power access, and advancing captive power generation and cooling technologies, should also help ease the investment burden.

- Second, investment entities are structurally diversifying. Early AI investments were concentrated on a small number of Big Tech firms, where capex adjustments by a specific company directly translated into overall demand fluctuations. Currently, the investment base is rapidly expanding beyond cloud service providers (CSPs) to include general enterprises building in-house Ai infrastructure, sovereign AI investments, and on-premise demand. For instance, even if investments in some projects slow due to interest rate burdens, policy-backed sovereign AI investment or broader enterprise AI adoption can fill the gap. As the market shifts to a multi-layered structure with diverse participants with different motivations and funding sources, the impact of a specific company's financial capacity or capex adjustment on the overall investment trend is reduced. To sum up, we expect AI investment and demand intensity to remain solid given actual business performances and the diversification of investment entities, and the structural supply/demand imbalance in the memory market, where demand overwhelms supply, to persist for some time.

2. What is the criterion for dividing the mix between dividends and share buybacks within total shareholder returns?

- Our principle is to maintain a balanced mix between cash dividends, which directly share improved earnings with shareholders, and share buyback/cancellations, which enhance value per share by reducing free-float shares.

- Cash dividends are set at a level that can be stably maintained going forward by reflecting earnings improvements, while taking into account historical dividend yield, the dividend yields of major global growth peers, and appropriate cash holdings. When meaningful investment returns occur, we also plan to share a portion with shareholders. In particular, we plan to pay out most of the investment gains from Kioxia as a special dividend, allowing shareholders to directly benefit from the investment. Although the fiscal year has yet to close, we believe it is important to share a portion of the expected investment returns in advance. Thus, we plan to preemptively pay a portion of the special dividend in 3Q26 and include the remainder in the year-end dividend once the investment returns are finalized.

- The remainder of the total shareholder return excluding cash dividends is allocated to share buybacks. We believe our current share price is undervalued as it does not fully reflect the earnings and cash flows generated by the company, and we believe share buybacks/cancellations are an effective way to raise value per share. We will continue to buy back shares every quarter within the annual buyback budget, with the quarterly buyback amount decided by the Board of Directors in consideration of share price levels, valuations, and cash flow. We plan to faithfully execute our shareholder return policy based on solid cash generation power.

3. You noted that secured LTA volumes exceed 50% of total 2027-2028 capacity. How should we view the mid- to long-term earnings direction and room for further growth?

- We are focusing on raising mid- to long-term demand visibility by expanding LTAs, and translating this into stable revenue/profit growth. When combining already secured LTA volumes and demand currently under concrete negotiation with customers, DRAM and HBM volumes for the next three years through 2029 are virtually sold out. As volumes under negotiation represent highly probable demand based on customers' concrete procurement plans, we believe mid- to long-term sales visibility has risen significantly. Secured LTA volumes exceed 50% of total 2027-2028 capacity, and we plan to operate our mid- to long-term LTA mix at a similar level. Through this, we will secure a solid earnings base, while actively utilizing non-LTA capacity to respond flexibly to market conditions and next-generation product demand to secure future competitiveness.

4. New fab constructions and existing capacity expansion are underway across multiple sites including Yongin. What is your strategy against oversupply if demand is weaker than expected?

- We are executing mid- to long-term investments to respond to strong customer demand and secure equipment and fab space needed for tech migration. However, an increase in capex scale or new fabs does not mean supply increases proportionally. As the portion of high-performance products including HBM increases and processes become more complex, the resources required for production increases, while constraints on expanding bit supply through node shrinkage are growing. Current investments are not simple capacity expansions, but investments to secure the production base necessary for tech migration and high value-added product expansion.

- Investment will be executed in phases. Our principle is to prepare base infrastructure preemptively to prepare for mid- to long-term demand, while core resources that lead to actual supply increases including equipment move-in and mass production expansion will be adjusted according to demand. For instance, for new fabs including the Yongin cluster and M17, we will bring forward the building shell construction schedule, but open cleanrooms in phases, keeping flexible operations in mind. When assessing demand, we not only check capex or demand forecasts provided by customers, but also reflect their financial stability, funding capacity, and key supply chain readiness into our capex plans. Our own financial soundness is also an important criterion. We plan to maintain sufficient financial headroom considering mid- to long-term net cash targets and appropriate cash levels, while managing the scale and pace of investment based on demand visibility and investment profitability. In short, based on higher demand visibility, we will prepare the mid- to long-term supply base without disruption, while expanding actual capacity in line with demand and profitability. If unexpected situations occur, we will manage risks by flexibly adjusting capex execution, production plans, and resource allocation.

5. What is the status of HBM4 supply and preparations for HBM4E and custom HBM?

- With mass production progressing smoothly, HBM4 is expected to overtake HBM3E in terms of both bit shipments and revenue contribution in 4Q26. Yields are also highly stable, with both fab and backend yields remaining among the industry's best. Notably, backend yields refer to the entire process rather than individual steps such as bumping and stacking or known-good-die (KGD) testing. On this basis, HBM4 yields have exceeded initial targets, prompting them to be revised up, while HBM3E yields have also surpassed the originally planned mature yield level. The company is currently focused on maximizing productivity to meet strong customer demand and expects its HBM business performance to reaffirm its differentiated competitiveness.

- Preparations for next-generation products are also progressing steadily. HBM4E sample deliveries were completed in 2Q26, and development and qualification are proceeding smoothly in line with customer schedules. Alongside stable supplies of standard HBM, the company expects custom HBM optimized for individual customer systems and workloads to become increasingly important and is working closely with key customers on related projects. As the first supplier to key customers, it plans to sustain HBM business growth through proven product competitiveness and reliable mass-production capabilities.

6. What is the company's view on potential reductions in HBM stack height, and how would these affect shipments and profitability?

- The company views recent moves by some customers to adjust HBM specifications as a clear illustration of demand substantially exceeding supply. With HBM supply constrained, customers need to build more AI accelerators and systems using limited available volumes. Reducing stack height is therefore seen as a strategy to secure more cubes from the same total bit capacity. However, fewer layers do not necessarily translate into a proportional reduction in HBM capacity. Even a transition from 12-high HBM4 to 8-high HBM4E could substantially offset the impact of fewer layers through increased capacity per die.

- These potential specification changes do not alter the medium- to long-term HBM demand outlook. Customer requests continue to exceed the company's available supply more than twofold, underscoring customers' strong preference for its competitive products. There is also no impact on supply plans. Delivering the same bit volume in shorter stacks requires more cubes, base dies, and backend processing, but these requirements have already been incorporated into production and supply plans. Planned HBM shipment volumes and delivery schedules therefore remain on track.

- Profitability depends on a combination of product-specific commercial terms, product mix, yields, backend productivity and costs, and cannot be assessed solely on stack height. In 2027, a higher HBM4 mix and rising prices should be accompanied by further improvements in mass-production yields and cost competitiveness. HBM revenue and profit are therefore expected to grow sharply from 2026, with a meaningful improvement in profitability. The company expects to sustain profitability well above previous cycle peaks.

7. With competitors' development of new cell structures and next-generation DRAM drawing greater attention to long-term technology competition, how is the company preparing for 4F² DRAM, and what is its technology development strategy?

- 4F² is a next-generation DRAM technology that increases density by reducing cell area relative to the existing 6F² structure. However, adoption timing and strategies may differ across manufacturers depending on their remaining scope for scaling, process environments and cost structures. The company is developing technologies to maximize the use of the existing 6F² structure through mature processes and stable technology platforms before transitioning to 4F² or 3D DRAM platforms. We have secured further scope to extend the current 6F² platform through EUV-based scaling and process innovation. At this stage, maximizing the use of platforms with proven mass-production stability and cost competitiveness is seen as the most efficient way to strengthen product competitiveness.

- Incorporating new cell structures into commercial products requires not only performance but also adequate yields, reliability, and cost competitiveness, followed by product design and customer qualification. The company therefore emphasizes the distinction between technical implementation and actual commercialization. It is preparing a phased technology roadmap spanning extreme scaling of conventional DRAM, 4F², and 3D DRAM, and plans to deploy each technology in suitable products once it is sufficiently mature and economically viable. Drawing on its accumulated process and design expertise, mass-production experience and customer collaboration capabilities, it aims to maintain competitiveness across performance, cost, and manufacturability in next-generation DRAM.

8. As KV caches expand rapidly and storage and reuse across multiple memory tiers become more established, what is the potential impact on NAND demand, and how is the company preparing?

- The proliferation of agentic AI and long-context workloads is driving rapid growth in KV cache sizes, making it increasingly difficult to store all KV cache data in HBM and DRAM due to capacity and cost constraints. Tiered memory architectures that distribute data across HBM, DRAM, and SSDs according to access frequency are therefore becoming increasingly important. This should create new NAND demand for storing and reusing the context required for AI inference. SSDs are already being used for KV cache offloading in some AI systems, and their role is expected to expand into a context memory tier that allows multiple servers and GPUs to share large-scale KV caches.

- To address this opportunity, the company is developing memory-tiering technologies including Semantic-Aware Lifecycle Tiering for KV (SALT-KV) and CMM-Hybrid. SALT-KV is a software technology that optimizes data placement across HBM, DRAM and SSDs by assessing each KV cache's reuse value and storage cost. CMM-Hybrid is a CXL-based hybrid memory technology that stores the full KV cache on SSDs while predicting which data is likely to be needed and prefetching it into DRAM. Through recent system demonstrations using real AI workloads, the company has been defining enterprise SSD (eSSD) use cases and performance requirements in actual inference environments, laying the groundwork for adoption in customer and platform partner architectures. Over the medium to long term, it also plans to address a new memory tier between HBM and SSDs through HBF, which combines NAND's high capacity and cost efficiency with high bandwidth. The company aims to sustain NAND business growth by proactively capturing demand opportunities arising from changes in AI system architectures.

SK Hynix (000660 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**66,193**	**97,147**	**383,602**	**738,334**	**849,084**
Cost of sales	34,365	38,456	60,074	93,324	110,381
Gross profit	31,828	58,691	323,528	645,009	738,703
SG&A	8,361	11,484	23,818	50,529	59,436
Operating profit	**23,467**	**47,206**	**299,710**	**594,481**	**679,267**
EBITDA	36,049	61,136	315,889	612,625	694,810
Non-operating profit	418	3,259	102,289	233,651	244,276
Forex gains	269	-448	3,144	888	888
Net interest income	-1,000	-429	835	7,607	18,232
Equity-method gains	-38	-565	-86,295	0	0
Other	1,188	4,702	184,605	225,155	225,155
Net prof before income tax	23,885	50,466	401,999	828,132	923,542
Income tax	4,088	7,518	95,151	207,033	195,686
Net profit from continuing ops	19,797	42,948	306,848	621,099	727,856
Net profit from discontinued ops	0	0	0	0	0
Net profit	19,797	42,948	306,848	621,099	727,856
NP for controlling interest	**19,789**	**42,919**	**306,542**	**620,422**	**727,063**
Total comprehensive income	21,044	43,017	311,050	625,335	732,093
Total comprehensive income, CI	21,033	42,984	310,702	624,563	731,189

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**42,279**	**69,458**	**386,893**	**1,038,352**	**1,810,973**
Cash & cash equivalents	11,205	14,924	127,730	689,712	1,416,127
Accounts receivables & other	13,299	18,468	82,752	116,341	133,511
Inventory	13,314	14,289	64,029	90,018	103,521
Non-current assets	77,576	106,650	210,474	239,103	226,040
Tangible assets	60,157	77,503	103,857	128,385	113,398
Investment in affiliates	1,941	1,321	5,919	8,321	9,570
Other investment assets	4,582	15,851	91,151	93,523	94,755
Total assets	**119,855**	**176,108**	**597,367**	**1,277,455**	**2,037,013**
Current liabilities	24,965	37,379	136,778	189,918	217,527
Accounts payable & other	13,386	15,884	71,173	100,063	115,072
ST financial liabilities	1,283	2,396	2,664	2,664	2,664
Liquid LT liabilities	3,969	5,766	3,194	3,194	3,194
Non-current liabilities	20,974	18,062	23,738	27,395	29,295
LT financial liabilities	5,022	2,880	2,184	2,184	2,184
Debentures	12,409	11,206	10,544	10,544	10,544
Total liabilities	**45,940**	**55,441**	**160,516**	**217,313**	**246,822**
Equity, controlling interest	73,903	120,516	436,351	1,058,965	1,788,220
Paid-in capital	3,658	3,658	3,658	3,658	3,658
Capital surplus	4,487	8,954	11,876	11,876	11,876
Retained earnings	65,418	106,577	414,122	1,032,499	1,757,518
Equity, non-controlling interest	12	151	501	1,178	1,971
Total equity	**73,916**	**120,667**	**436,852**	**1,060,143**	**1,790,191**
Net debt	**12,984**	**-5,581**	**-188,576**	**-767,894**	**-1,503,315**
Total debt	27,200	29,674	45,058	54,991	60,152

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**29,796**	**53,373**	**294,669**	**581,010**	**711,068**
Net profit	19,797	42,948	306,848	621,099	727,856
Depreciation & amortization	11,985	13,099	15,373	17,472	14,987
Forex gains	352	509	-1,338	-888	-888
Affiliate investment gains	0	565	86,295	0	0
Increase in net working cap	-5,600	-2,881	-65,441	9,654	35,555
Other	3,261	-867	-47,069	-66,326	-66,442
Investing cash flow	**-18,005**	**-48,054**	**-141,806**	**-69,868**	**-12,474**
Investment	-113	-983	-9,122	-4,774	-2,480
Increase in tangible assets	-15,946	-27,519	-41,329	-42,000	0
Decrease in tangible assets	47	145	20	0	0
Other	-1,993	-19,697	-91,375	-23,095	-9,993
Financing cash flow	**-8,704**	**-1,445**	**15,786**	**7,888**	**3,116**
ST financial liabilities	-2,643	4,244	19,278	9,933	5,161
Debenture/LT financial liabilities	-4,138	-1,769	-3,894	0	0
Equity	115	4,467	2,922	0	0
Cash dividend	-826	-1,681	-2,134	-2,044	-2,044
Other cash flow	-1,211	-6,705	-387	0	0
Consolidation adj and other	530	-155	-55,842	42,952	24,704
Increase in cash & equivalents	**3,618**	**3,719**	**112,806**	**561,982**	**726,414**
Beginning cash & equivalents	7,587	11,205	14,924	127,730	689,712
Ending cash & equivalents	11,205	14,924	127,730	689,712	1,416,127
NOPLAT	23,467	47,206	**299,710**	**594,481**	**679,267**
FCF	**13,850**	**25,854**	**253,340**	**539,010**	**711,068**

Valuation

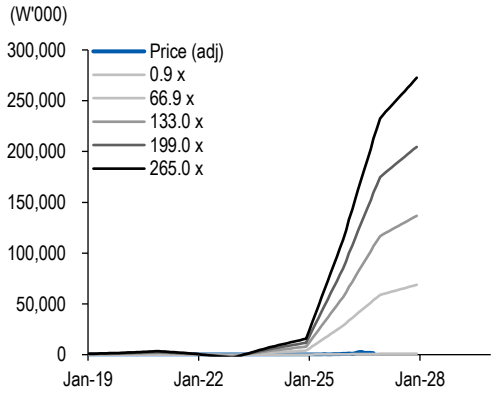
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	27,182	58,955	426,371	877,791	1,028,670
BPS (won)	107,256	171,751	640,312	1,553,951	2,624,077
EBITDA/shr (won)	49,517	83,978	439,371	866,760	983,038
SPS (won)	90,924	133,443	533,554	1,044,616	1,201,308
DPS (won)	2,204	3,000	3,000	3,000	3,000
P/E (x)	**6.6**	**5.2**	**3.5**	**1.7**	**1.4**
P/B (x)	**1.7**	**1.8**	**2.3**	**1.0**	**0.6**
EV/EBITDA (x)	**4.0**	**3.6**	**2.8**	**0.5**	**-0.6**
P/S (x)	**2.0**	**2.3**	**2.8**	**1.4**	**1.2**

Key financial data

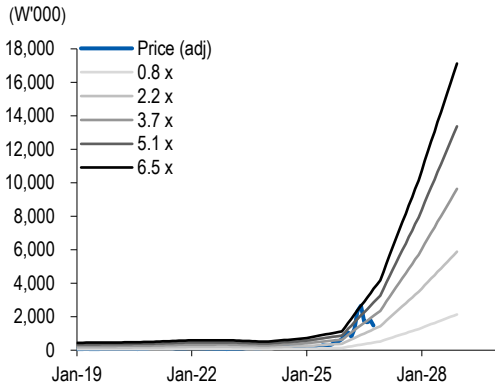
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**102.0**	**46.8**	**294.9**	**92.5**	**15.0**
Operating profit (%YoY)	**TTB**	**101.2**	**534.9**	**98.4**	**14.3**
Net profit, CI (%YoY)	**TTB**	**116.9**	**614.2**	**102.4**	**17.2**
Gross margin (%)	48.1	60.4	84.3	87.4	87.0
Operating margin (%)	**35.5**	**48.6**	**78.1**	**80.5**	**80.0**
Net margin, CI (%)	29.9	44.2	79.9	84.0	85.6
EBITDA margin (%)	54.5	62.9	82.3	83.0	81.8
ROIC (%)	27.1	48.2	188.2	253.6	275.4
ROA (%)	18.0	29.0	79.3	66.2	43.9
ROE (%)	**31.1**	**44.2**	**110.1**	**83.0**	**51.1**
Debt-to-equity (%)	62.2	45.9	36.7	20.5	13.8
Net debt-to-equity (%)	17.6	-4.6	-43.2	-72.5	-84.1
OP/financing cost (x)	17.4	51.1	395.3	627.5	623.1

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

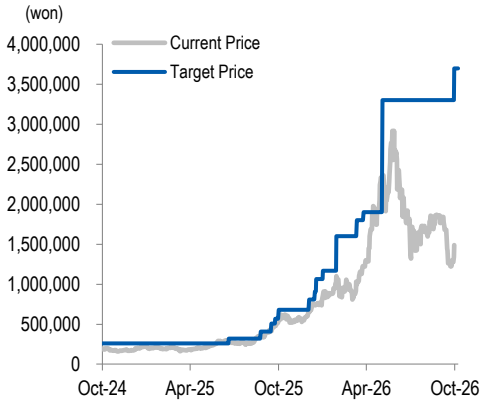
P/E band chart



P/B band chart



SK Hynix (000660 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/29	BUY	3,700,000	1 yr		
2026/10/28	BUY	3,700,000	1 yr		
2026/06/01	BUY	3,300,000	1 yr	-43.83	-11.55
2026/04/23	BUY	1,900,000	1 yr	-7.58	22.79
2026/04/09	BUY	1,800,000	1 yr	-37.02	-32.00
2026/02/26	BUY	1,600,000	1 yr	-41.55	-33.69
2026/01/29	BUY	1,169,000	1 yr	-22.82	-12.92
2026/01/15	BUY	1,066,000	1 yr	-28.06	-21.11
2026/01/12	BUY	910,000	1 yr	-18.68	-18.46
2025/10/22	BUY	570,000	1 yr	-10.33	-6.14

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 29, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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